

**TABLE 6.3** Relationship between Dividend Yields at Beginning of Year and Stock Returns over Following (Nonoverlapping) Two Years 1872 to 1999

|                             | Below-Median<br>Return | Above-Median<br>Return | Total |
|-----------------------------|------------------------|------------------------|-------|
| Below-median dividend yield | 17                     | 15                     | 32    |
| Above-median dividend yield | 15                     | 17                     | 32    |
| Total                       | 32                     | 32                     | 64    |

Chi-square = 0.06.  
Critical chi-square for 5 percent level of significance is 3.841.  
Median dividend yield over 128 years (1872 to 1999) is 4.43 percent.  
Median return during a year is 10.50 percent.  
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**TABLE 6.4** Relationship between P/E Ratios and Future Returns

|                         | Below-Median Return | Above-Median Return |
|-------------------------|---------------------|---------------------|
| Above-median P/E ratios | Positive hit        | False positive      |
| Below-median P/E ratios | False negative      | Negative hit        |

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**TABLE 6.5** Relationship between P/E Ratios at Beginning of a Year and Stock Returns over Following Year 1872 to 1999

|                         | Below-Median<br>Return | Above-Median<br>Return | Total |
|-------------------------|------------------------|------------------------|-------|
| Above-median P/E ratios | 32                     | 32                     | 64    |
| Below-median P/E ratios | 32                     | 32                     | 64    |
| Total                   | 64                     | 64                     | 128   |

Chi-square = 0.00.  
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